



[Weekly Market Commentary](#)

Dear clients,

Activity on CME bitcoin and ether futures has picked up sharply in recent weeks alongside the rise in net inflows into spot bitcoin ETFs, suggesting institutional interest in this space is growing. The open interest for CME bitcoin futures has risen 58% to \$6.8B in February compared to an 86% increase to around \$1.1B for CME ether futures. While the absolute figures continue to highlight the differences in market participation and trading activity between these two assets, the trend reveals how ETH has started to catch up to BTC in terms of performance as of late.

Meanwhile, Ethena has been getting a lot of attention this week for its interest-bearing “synthetic dollar” USDe that launched on Ethereum mainnet on February 19, which has already attracted \$412M in total value locked. In basic terms, the concept behind Ethena is that it tokenizes the “cash and carry” trade between spot and perpetual futures (perps).

Separately, we also want to revisit an earlier statement laid out in the previous weekly that the Geth supermajority risk had been “largely mitigated”. Although there has indeed been significant progress in client diversification in the past month there is still room for progress before concerns around Geth centralization are fully resolved.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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